

3.3.3 Concentrated Markets

Monopoly and Oligopoly	Candidates should be aware of the various factors which affect the behaviour and performance of firms in a variety of real world markets. The factors include different barriers to entry and the degree of concentration and product differentiation.
Price Makers and Price Takers	Candidates should understand the factors which affect the ability of a firm to fix the price of its product.
The Growth of Firms	Candidates should understand how and why firms grow. They should be aware of the difference between internal (organic) growth and external growth via merger or takeover, and different types of integration.
Sources of Monopoly Power	Candidates should understand that monopoly power is influenced by factors such as barriers to entry, the number of competitors, advertising and the degree of product differentiation.
The Model of Monopoly	A formal diagrammatic analysis of the monopoly model is expected.
Collusive and Non-Collusive Oligopoly	Candidates should understand the ways in which firms behave in concentrated markets in the real world and the meaning of oligopoly. They should understand the factors which influence prices, output, investment, expenditure on research, advertising and the marketing policies in oligopolistic industries. Candidates should appreciate that oligopoly can be defined in terms of market structure or in terms of market conduct (behaviour). They should also understand the reasons for non-price competition, the operation of cartels, price leadership, price agreements, price wars and barriers to entry.
Interdependence in Oligopolistic Markets	Candidates should understand the roles of interdependence and uncertainty in oligopoly. The kinked demand curve model should be used as an illustration of the interdependence between firms and not taught as if it is the only model of oligopoly. Similarly, candidates should be introduced to game theory as a tool for illustrating possible consequences of interdependence for the behaviour of firms in oligopolistic markets. <i>Note: candidates do not need to understand the model of monopolistic competition.</i>
Price Discrimination	Candidates should understand the conditions necessary for price discrimination and be able to assess the advantages and disadvantages of such policies. Real world examples should be used to illustrate price discrimination.
Consumer and Producer Surplus	Candidates should be able to apply these concepts when discussing economic efficiency and welfare issues, such as price discrimination and the dead-weight losses associated with monopoly.
Contestable and Non-contestable Markets	Candidates should be able to discuss the significance of market contestability for the performance of an industry. They should be familiar with concepts such as sunk costs and hit-and-run competition.
Market Structure, Static Efficiency, Dynamic Efficiency and Resource Allocation	Candidates should understand the conditions required for productive and allocative efficiency. They should appreciate the difference between static efficiency and dynamic efficiency and understand that dynamic efficiency is influenced by, for example, research and development, investment in human and non-human capital and technological change. Candidates should be able to apply efficiency concepts when comparing the performance of firms in competitive markets with those in concentrated markets.
